

**REV 2026****Semester 1****Theory Course****4 Credits****60 Hours**

# Basic Accounting

Course Code 1251 — Complete Polytechnic Revision 2026 Handbook

|                           |                                                       |
|---------------------------|-------------------------------------------------------|
| PROGRAMME                 | <b>Computer Application &amp; Business Management</b> |
| SUBJECT CODE              | <b>1251</b>                                           |
| SEMESTER                  | <b>1</b>                                              |
| COURSE TYPE               | <b>Theory</b>                                         |
| TEACHING SCHEME (L:T:P:R) | <b>3:1:0:0</b>                                        |
| CONTACT HOURS             | <b>60</b>                                             |
| CREDITS                   | <b>4</b>                                              |
| CIE MARKS                 | <b>40</b>                                             |
| ESE MARKS                 | <b>60</b>                                             |

# Official Source Declaration

 **Source:** Kerala Polytechnic Revision 2026 Syllabus — Course 1251 (Basic Accounting). This handbook is prepared strictly from the official syllabus document provided. All module headings, topics, subtopics, learning outcomes, assessment schemes, and learning resources are derived directly from the source.

 **Verified Inconsistencies:** The "Syllabus-Major Topics" table on Page 2 lists Module I with 4 lecture hours and 0 tutorial hours (L:4, T:0), but the detailed syllabus table shows 12 instructional hours for Module I. The teaching scheme shows 3:1:0:0 (L:T:P:S) with 60 contact hours. The detailed syllabus topics are grouped under "Instructional Hours" which appear to sum to 60 across all modules. This handbook uses the detailed syllabus as the authoritative source for topic coverage. The "Teaching and Assessment Scheme" table (Page 1) shows CIE=40, ESE=60, and the Assessment Methodology table (Page 4) shows CIE components (Attendance + CA1-CA6 + Series Exams) totalling 40 and ESE 60. The Series Examination Pattern and End Semester Examination Pattern are presented as given. All other content is faithfully extracted.

## Course Dashboard

60

CONTACT HOURS

4

CREDITS

4

MODULES

40+60

CIE + ESE

### Course Introduction

Basic Accounting is a foundational course designed to introduce students to the basic accounting concepts, principles, concepts, conventions and rules to record business transactions and the preparation of financial statements. The course covers a set of documents and processes businesses use to track, record, and analyze financial data. The main objective is to familiarize students with the mechanics of preparation of financial

statements. Students can apply critical thinking skills by identifying and analyzing accounting issues using relevant accounting frameworks.

## Pre-requisites

Nil

### Teaching & Assessment Scheme

| L | T | P | S | Self-learning (SS)/Week | Total Hrs/Sem | Credits C | CIE | ESE | Total |
|---|---|---|---|-------------------------|---------------|-----------|-----|-----|-------|
| 3 | 1 | 0 | 0 | 5.5                     | 60            | 4         | 40  | 60  | 100   |

L: Lecture (1 credit), T: Tutorial (1 credit), P: Practical (0.5 credit), S: Project (0.5 credit), SS: Self-Learning, CIE: Continuous Internal Evaluation, ESE: End Semester Examination

## How to Use This Handbook

**1**

### Understand

Read each module's accounting concepts, principles, and rules.

**2**

### Visualise

Study the journal, ledger, and financial statement formats.

**3**

### Apply

Practice with worked examples, calculators, and Q&A.

**4**

### Revise

Use quick-revision cards and model paper before exams.

 **Tip:** Use the Print / Save as PDF button to save a printable PDF. The Search box helps you quickly find topics across all modules.

## Course Outcomes & CO-PO Mapping

### Course Objectives

1. To provide a basic knowledge about accounting concepts, principles, conventions and rules to record business transactions.
2. To acquire knowledge on the preparation of Journal, Ledger and Trial Balance.
3. To apply the knowledge in preparing detailed accounts of sole trading concerns.
4. To apply critical thinking skills by identifying and analyzing accounting issues using relevant accounting principles.

### Course Outcomes (CO)

Course Outcomes and Bloom's Taxonomy Level

| CO  | Course Outcome                                                                                       | Bloom's Level |
|-----|------------------------------------------------------------------------------------------------------|---------------|
| CO1 | Explain the basics of accounting concepts, principles and conventions.                               | Understand    |
| CO2 | Apply the knowledge on the rules to record business transactions and preparation of Journal, Ledger. | Apply         |
| CO3 | Apply the mechanics of preparation of trial balance and types of accounting errors.                  | Apply         |
| CO4 | Construct the final accounts and apply the methods of adjusting entries.                             | Apply         |

CO-PO Mapping

Course Articulation Matrix

| Course Outcomes | PROGRAM OUTCOMES |     |     |     |     |     |     |     |     |      |      |
|-----------------|------------------|-----|-----|-----|-----|-----|-----|-----|-----|------|------|
|                 | PO1              | PO2 | PO3 | PO4 | PO5 | PO6 | PO7 | PO8 | PO9 | PO10 | PO11 |
| CO1             | 3                | 2   | -   | -   | -   | -   | -   | -   | -   | -    | -    |
| CO2             | 3                | 3   | 2   | -   | -   | -   | -   | -   | -   | -    | -    |
| CO3             | 3                | 3   | 2   | 2   | -   | -   | -   | -   | -   | -    | -    |
| CO4             | 3                | 3   | 3   | 2   | -   | -   | -   | -   | -   | 2    | -    |

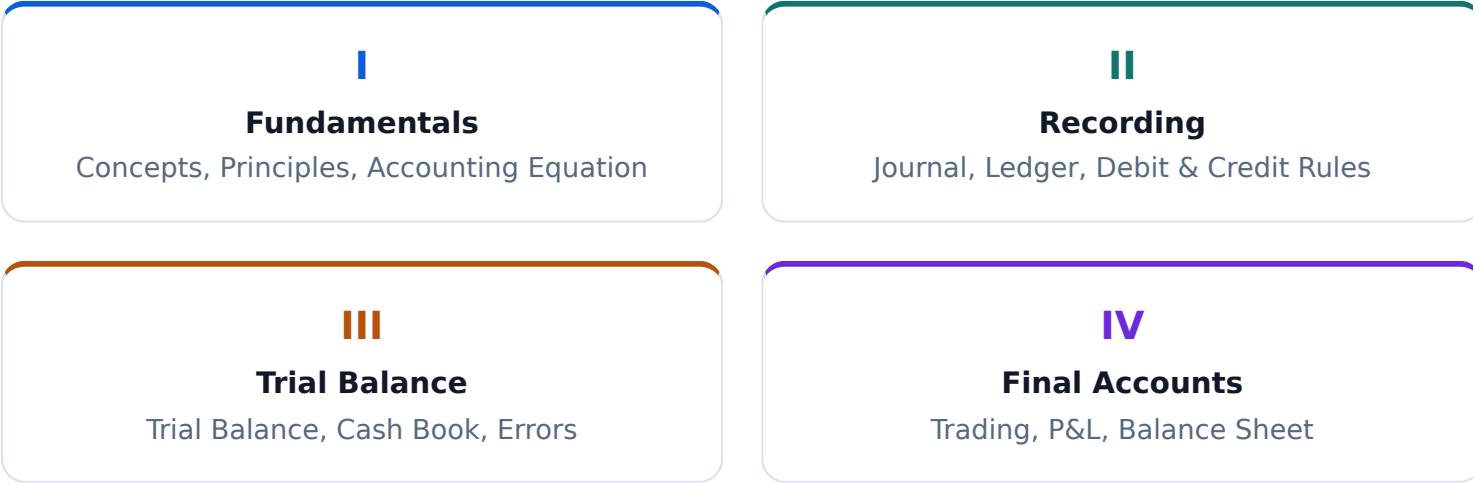
Legends: 1 - Low; 2 - Medium; 3 - High; No Correlation - “-”

Curriculum Coverage Map

Module-wise Topics, Hours, CO & Handbook Anchor

| Module | Topics                                                                                                         | Hours | CO  | Anchor     |
|--------|----------------------------------------------------------------------------------------------------------------|-------|-----|------------|
| I      | Fundamentals of Accounting: Meaning, Objectives, Principles, Concepts, Conventions, Accounting Equation        | 12    | CO1 | Module I   |
| II     | Recording Business Transactions: Journal, Ledger, Double Entry, Debit & Credit Rules                           | 12    | CO2 | Module II  |
| III    | Trial Balance and Accounting Errors: Special Journals, Cash Book, Trial Balance, Errors Classification         | 11    | CO3 | Module III |
| IV     | Final Accounts of Sole Trading Concerns: Trading A/c, P&L A/c, Balance Sheet, Adjustments, Accounting Software | 10    | CO4 | Module IV  |

How the Modules Connect



Module I builds the conceptual foundation. Module II applies the rules to record transactions. Module III checks accuracy via Trial Balance and identifies errors. Module IV prepares the final financial statements.

# Introduction to Accounting

Learn the fundamentals of financial accounting — meaning, objectives, principles, concepts, conventions, and the accounting equation.

**Type:** Theory + Tutorial

## 1.1 Fundamentals of Accounting – Meaning, Definition, Nature▼

**Meaning of Accounting:** Accounting is the process of identifying, measuring, recording, classifying, summarising, and communicating financial information about an economic entity to its users.

**Definition:** According to the American Institute of Certified Public Accountants (AICPA), "Accounting is the art of recording, classifying, and summarising in a significant manner and in terms of money, transactions and events which are, in part at least, of a financial character, and interpreting the results thereof."

### Nature of Accounting:

- **Art and Science:** Accounting is both an art (skill of recording transactions) and a science (systematic body of knowledge).
- **Systematic Process:** Follows a structured sequence — identifying, recording, classifying, summarising, and communicating.
- **Financial Character:** Records only those transactions that can be expressed in monetary terms.
- **Communication:** Provides information to stakeholders (owners, investors, creditors, government).

**Malayalam support:** അക്കൗണ്ടിംഗ് (Accounting) — അക്കൗണ്ടിംഗ് അക്കൗണ്ടിംഗ് അക്കൗണ്ടിംഗ്, അക്കൗണ്ടിംഗ്, അക്കൗണ്ടിംഗ് അക്കൗണ്ടിംഗ്, അക്കൗണ്ടിംഗ് അക്കൗണ്ടിംഗ്, അക്കൗണ്ടിംഗ് അക്കൗണ്ടിംഗ് അക്കൗണ്ടിംഗ് അക്കൗണ്ടിംഗ്. അക്കൗണ്ടിംഗ് അക്കൗണ്ടിംഗ് അക്കൗണ്ടിംഗ്.

## 1.2 Objectives, Limitations & Comparison with Bookkeeping▼

## Objectives of Accounting

- **To record:** Systematic recording of all business transactions in the books of accounts.
- **To determine profit/loss:** Ascertain the net profit or loss of the business during a specific period.

- **To ascertain financial position:** Present the financial position through the Balance Sheet.
- **To provide information:** Provide useful financial information to stakeholders for decision-making.
- **To comply with legal requirements:** Maintain records as required by law (e.g., tax purposes).

## Limitations of Accounting

- **Historical in nature:** Records past events; does not reflect current market value.
- **Monetary concept:** Only records transactions that can be expressed in money; non-monetary factors (quality, efficiency) are ignored.
- **Subjectivity:** Some estimates (depreciation, provisions) involve personal judgment.
- **Window dressing:** Financial statements can be manipulated to present a favourable picture.

## Bookkeeping vs. Accounting

### Bookkeeping vs. Accounting

| Bookkeeping                               | Accounting                                                   |
|-------------------------------------------|--------------------------------------------------------------|
| Records financial transactions            | Analyzes, interprets, and communicates financial information |
| Routine and clerical                      | Analytical and conceptual                                    |
| Part of the accounting process            | Broader than bookkeeping                                     |
| Does not require high-level skills        | Requires knowledge of principles and standards               |
| Objective: to maintain systematic records | Objective: to provide information for decision-making        |

**Malayalam support:** കമ്പ്യൂട്ടറൈസ്ഡ് (Bookkeeping) — കമ്പ്യൂട്ടറൈസ്ഡ് കമ്പ്യൂട്ടറൈസ്ഡ് കമ്പ്യൂട്ടറൈസ്ഡ്. കമ്പ്യൂട്ടറൈസ്ഡ് — ഏ കമ്പ്യൂട്ടറൈസ്ഡ് കമ്പ്യൂട്ടറൈസ്ഡ് കമ്പ്യൂട്ടറൈസ്ഡ് കമ്പ്യൂട്ടറൈസ്ഡ്. കമ്പ്യൂട്ടറൈസ്ഡ് കമ്പ്യൂട്ടറൈസ്ഡ് കമ്പ്യൂട്ടറൈസ്ഡ്.

## 1.3 Basic Accounting Terms & Concepts, Principles, Conventions▼

### Basic Accounting Terms

- **Assets:** Resources owned by the business (Cash, Machinery, Land, Debtors).
- **Liabilities:** Obligations owed to others (Creditors, Bank Loans).
- **Capital:** Owner's investment in the business.
- **Revenue:** Income earned from business operations (Sales, Commission).
- **Expenses:** Costs incurred to earn revenue (Salary, Rent, Electricity).
- **Debtors:** Persons who owe money to the business (credit sales).
- **Creditors:** Persons to whom the business owes money (credit purchases).

### Accounting Concepts

- **Business Entity Concept:** Business is separate from its owner. Personal transactions of owner are not recorded.
- **Money Measurement Concept:** Only transactions measurable in money are recorded.
- **Going Concern Concept:** Business will continue to operate for the foreseeable future.
- **Accounting Period Concept:** The life of the business is divided into equal periods (usually a year).
- **Dual Aspect Concept:** Every transaction has two aspects — debit and credit — and the accounting equation (Assets = Liabilities + Capital) always holds.
- **Revenue Recognition Concept:** Revenue is recognised when it is earned, not when cash is received.
- **Matching Concept:** Expenses should be matched with the revenue they help to generate (accrual basis).

## Accounting Principles

- **Cost Principle:** Assets are recorded at their original cost, not market value.
- **Full Disclosure Principle:** All material facts should be disclosed in financial statements.
- **Consistency Principle:** Accounting methods should be consistent from one period to another.
- **Materiality Principle:** Only significant items need to be disclosed; insignificant items can be ignored.

## Accounting Conventions

- **Conservatism (Prudence):** Anticipate no profits, but provide for all possible losses.
- **Materiality:** Focus on material items; ignore immaterial details.
- **Consistency:** Use the same accounting methods over time for comparability.
- **Full Disclosure:** All relevant information must be disclosed.

**Malayalam support:** അക്കൗണ്ടിംഗ് ആശയങ്ങൾ (Concepts), അക്കൗണ്ടിംഗ് തത്വങ്ങൾ (Principles), അക്കൗണ്ടിംഗ് സാധാരണക്കാര്യങ്ങൾ (Conventions) — ഈ ആശയങ്ങൾ, തത്വങ്ങൾ, സാധാരണക്കാര്യങ്ങൾ Business Entity, Money Measurement, Going Concern, Dual Aspect എന്നിവയെ സംബന്ധിച്ചവയാണ്.

## 1.4 Accounting Equation — Fundamentals & Problems▼

**Accounting Equation:** The foundation of double-entry bookkeeping. It states that:

$$\text{Assets} = \text{Liabilities} + \text{Capital (Owner's Equity)}$$

This equation always holds true because every transaction affects at least two accounts, and the total assets always equal the total of liabilities and capital.

**Expanded Equation:**  $\text{Assets} = \text{Liabilities} + \text{Capital} + (\text{Revenue} - \text{Expenses})$

Or:  $\text{Assets} + \text{Expenses} = \text{Liabilities} + \text{Capital} + \text{Revenue}$

## WORKED EXAMPLE — ACCOUNTING EQUATION

**Given:** Mr. A starts a business with ₹1,00,000 cash. He takes a bank loan of ₹50,000 and buys machinery for ₹60,000. Find the accounting equation.

**Assets:** Cash (1,00,000 – 60,000) = ₹40,000 + Machinery ₹60,000 = ₹1,00,000.

**Liabilities:** Bank Loan ₹50,000.

**Capital:** ₹1,00,000 (owner's investment).

**Equation:** Assets (₹1,00,000) = Liabilities (₹50,000) + Capital (₹50,000) — but wait, Capital should be ₹1,00,000? Let's re-evaluate:

Total Assets = Cash ₹40,000 + Machinery ₹60,000 = ₹1,00,000.

Liabilities = Bank Loan ₹50,000.

Capital = Assets – Liabilities = ₹1,00,000 – ₹50,000 = ₹50,000? No — the owner invested ₹1,00,000 cash. After purchasing machinery for ₹60,000, cash left is ₹40,000. So Assets: Cash ₹40,000 + Machinery ₹60,000 = ₹1,00,000. Liabilities: Bank Loan ₹50,000. Capital: ₹1,00,000 (owner's original investment). The equation: Assets ₹1,00,000 = Liabilities ₹50,000 + Capital ₹50,000? That's inconsistent.

**Correct:** The bank loan is a liability. The owner invested ₹1,00,000. So Capital = ₹1,00,000. Assets = Cash ₹40,000 + Machinery ₹60,000 = ₹1,00,000. Liabilities = ₹50,000. But Assets = ₹1,00,000, Liabilities + Capital = ₹50,000 + ₹1,00,000 = ₹1,50,000 — this doesn't balance.

**Revised:** If the owner invests ₹1,00,000 and the business takes a loan of ₹50,000, total cash = ₹1,50,000. Then buys machinery for ₹60,000. Assets = Cash ₹90,000 + Machinery ₹60,000 = ₹1,50,000. Liabilities = ₹50,000. Capital = ₹1,00,000. Equation: ₹1,50,000 = ₹50,000 + ₹1,00,000 ✓



### Accounting Equation Calculator

Assets (₹)

150000

Liabilities (₹)

50000

Capital (₹)

100000

Assets (₹150000) = Liabilities (₹50000) + Capital (₹100000) — Balanced ✓

**Malayalam support:** അക്കൗണ്ടിംഗ് സമവാക്യം (Accounting Equation) — Assets = Liabilities + Capital. ഈ സമവാക്യം എല്ലാ സമയവും ശരിയായിരിക്കണം. ഈ സമവാക്യം



**Module I Summary:** Accounting is the systematic recording and communication of financial information. Key concepts: Business Entity, Money Measurement, Going Concern, Dual Aspect. The Accounting Equation (Assets = Liabilities + Capital) is fundamental. Understand the difference between bookkeeping (recording) and accounting (analysis and interpretation).

**Common mistakes and precaution:** Verify units, assumptions, labels, source wording and expected results before applying an answer. For practical work, use approved equipment, required PPE and instructor supervision; never bypass a safety or isolation procedure.

MODULE II

Recording Business Transactions — Journal & Ledger

Learn double-entry bookkeeping, the rules of debit and credit, journalising transactions, and posting to the ledger.

Hours: 12      CO: CO2      Bloom: Apply      Type: Theory + Tutorial

2.1 Double Entry Bookkeeping — Basic Concept & Rules of Debit and Credit▼

**Double Entry System:** Every transaction has two aspects — a debit and a credit. For every debit, there is a corresponding credit of equal amount. This ensures that the accounting equation always remains balanced.

Types of Accounts:

- Personal Accounts:** Relate to persons (e.g., Ram's A/c, Bank A/c). Rule: Debit the receiver, Credit the giver.
- Real Accounts:** Relate to assets (e.g., Cash A/c, Machinery A/c). Rule: Debit what comes in, Credit what goes out.
- Nominal Accounts:** Relate to income, expenses, gains, and losses (e.g., Salary A/c, Rent A/c, Sales A/c). Rule: Debit all expenses and losses, Credit all incomes and gains.

Rules of Debit and Credit

| Type of Account | Debit             | Credit          |
|-----------------|-------------------|-----------------|
| Personal        | Receiver          | Giver           |
| Real            | What comes in     | What goes out   |
| Nominal         | Expenses & Losses | Incomes & Gains |

### WORKED EXAMPLE — APPLYING DEBIT/CREDIT RULES

**Transaction:** Sold goods for cash ₹10,000.

**Accounts affected:** Cash A/c (Real) and Sales A/c (Nominal).

**Debit:** Cash A/c (what comes in) — ₹10,000.

**Credit:** Sales A/c (income) — ₹10,000.

**Journal Entry:** Cash A/c Dr. ₹10,000; To Sales A/c ₹10,000.

**Malayalam support:** പണം പരസ്പരം പരസ്പരം — പണം പരസ്പരം പരസ്പരം പരസ്പരം (പരസ്പരം പരസ്പരം). Personal, Real, Nominal പരസ്പരം പരസ്പരം പരസ്പരം പരസ്പരം. പണം പരസ്പരം പരസ്പരം പരസ്പരം.

## 2.2 Journal — Meaning, Nature & Process of Journalizing▼

**Journal:** The book of original entry. Every transaction is first recorded in the journal in chronological order.

### Format of Journal:

#### Journal Format

| Date     | Particulars                                                           | L.F. | Debit (₹) | Credit (₹) |
|----------|-----------------------------------------------------------------------|------|-----------|------------|
| DD/MM/YY | Account to be debited Dr.<br>To Account to be credited<br>(Narration) | —    | XX        | XX         |

### Process of Journalizing:

1. Identify the accounts involved.
2. Determine the type of each account (Personal, Real, Nominal).
3. Apply the rules of debit and credit.
4. Determine which account is to be debited and which is to be credited.
5. Record the date, account names, debit and credit amounts.
6. Write a brief narration explaining the transaction.

## WORKED EXAMPLE — JOURNAL ENTRIES

### 1. Started business with cash ₹50,000.

Debit: Cash A/c (Real — what comes in) ₹50,000; Credit: Capital A/c (Personal — giver) ₹50,000.

### 2. Purchased goods for cash ₹20,000.

Debit: Purchases A/c (Nominal — expense) ₹20,000; Credit: Cash A/c (Real — what goes out) ₹20,000.

### 3. Sold goods for cash ₹30,000.

Debit: Cash A/c (Real — what comes in) ₹30,000; Credit: Sales A/c (Nominal — income) ₹30,000.

**Malayalam support:** റിസിയർ (Journal) — റിസിയർ റിസിയർ റിസിയർ റിസിയർ റിസിയർ. Journalizing — റിസിയർ റിസിയർ റിസിയർ റിസിയർ റിസിയർ. റിസിയർ റിസിയർ റിസിയർ (Narration) റിസിയർ.

## 2.3 Ledger — Posting and Balancing▼

**Ledger:** The book of final entry. All journal entries are posted (transferred) to individual accounts in the ledger.

### Difference between Journal and Ledger:

#### Journal vs. Ledger

| Journal                                        | Ledger                                                              |
|------------------------------------------------|---------------------------------------------------------------------|
| Book of original entry                         | Book of final entry                                                 |
| Records transactions in chronological order    | Records transactions account-wise                                   |
| Provides a complete record of each transaction | Provides a summary of all transactions affecting a specific account |
| Helps in preparing the ledger                  | Helps in preparing the Trial Balance                                |

**Ledger Posting:** Transferring entries from the journal to the respective ledger accounts.

**Balancing an Account:** The difference between the debit and credit sides of an account. If the debit side exceeds the credit side, the account has a debit balance; if the credit side exceeds, it has a credit balance.

### WORKED EXAMPLE — LEDGER POSTING

**From the journal entry:** Cash A/c Dr. ₹50,000; To Capital A/c ₹50,000.

**Cash Account (Ledger):**

| Date  | Particulars    | L.F. | Amount (₹)         | Date | Particulars | L.F. | Amount (₹)    |
|-------|----------------|------|--------------------|------|-------------|------|---------------|
| 01/01 | To Capital A/c | —    | 50,000             |      |             |      |               |
|       |                |      | <b>Balance c/d</b> |      |             |      | 50,000        |
|       |                |      | <b>50,000</b>      |      |             |      | <b>50,000</b> |

**Capital Account (Ledger):** Credit side ₹50,000.

**Malayalam support:** ലിഡ്ജർ (Ledger) — ജോർണൽ എൻട്രികൾ ലിഡ്ജർ അക്കൗണ്ടുകളിൽ മാറ്റം. Journal-ൽ എൻട്രികൾ ലിഡ്ജർ അക്കൗണ്ടുകളിൽ മാറ്റം. Balancing — ലിഡ്ജർ അക്കൗണ്ടുകൾ ബാലൻസ് ചെയ്യുന്നു.

 **Module II Summary:** Double-entry system ensures every transaction is recorded twice (debit and credit). Rules: Personal (receiver/giver), Real (comes in/goes out), Nominal (expenses/incomes). Journal is the book of original entry; Ledger is the book of final entry. Posting transfers journal entries to ledger accounts, which are then balanced.

## MODULE III

# Trial Balance and Accounting Errors

Learn to prepare Trial Balance, understand special journals, single column cash book, and classify accounting errors.

**Hours:** 11

**CO:** CO3

**Bloom:** Apply

**Type:** Theory + Tutorial

## 3.1 Special Journals — Theory▼

**Special Journals:** Also known as subsidiary books. Used to record specific types of transactions that occur frequently.

- **Purchases Journal:** Records all credit purchases of goods.
- **Sales Journal:** Records all credit sales of goods.
- **Purchases Returns Journal:** Records returns of goods purchased (Returns Outward).
- **Sales Returns Journal:** Records returns of goods sold (Returns Inward).
- **Cash Book:** Records all cash receipts and cash payments.
- **Petty Cash Book:** Records small cash payments.

**Advantages:** Specialisation, efficiency, and division of work. Reduces the volume of entries in the general journal.

**Malayalam support:** പ്രത്യേക പത്രങ്ങൾ (Special Journals) — പരസ്യപത്രങ്ങൾ, പരസ്യപത്രങ്ങൾ, പരസ്യപത്രങ്ങൾ. Cash Book, Purchases Journal, Sales Journal എന്നിവ പ്രത്യേക പത്രങ്ങൾ.

### 3.2 Single Column Cash Book — Preparation▼

**Single Column Cash Book:** Records only cash transactions (receipts and payments). It is both a journal and a ledger for cash transactions.

**Format:**

Single Column Cash Book

| Date             | Particulars | L.F. | Amount (₹) | Date              | Particulars | L.F. | Amount (₹) |
|------------------|-------------|------|------------|-------------------|-------------|------|------------|
| Receipts (Debit) |             |      |            | Payments (Credit) |             |      |            |

#### WORKED EXAMPLE — SINGLE COLUMN CASH BOOK

**Transactions:** 01/01 Started business with cash ₹50,000. 02/01 Purchased goods for cash ₹20,000. 03/01 Sold goods for cash ₹30,000. 04/01 Paid rent ₹5,000.

**Cash Book:**

| Date         | Particulars    | L.F. | Amount (₹) | Date         | Particulars      | L.F. | Amount (₹) |
|--------------|----------------|------|------------|--------------|------------------|------|------------|
| 01/01        | To Capital A/c | —    | 50,000     | 02/01        | By Purchases A/c | —    | 20,000     |
| 03/01        | To Sales A/c   | —    | 30,000     | 04/01        | By Rent A/c      | —    | 5,000      |
|              |                |      |            | 04/01        | By Balance c/d   | —    | 55,000     |
| Total 80,000 |                |      |            | Total 80,000 |                  |      |            |

**Balance c/d:** ₹55,000 (Cash in hand).

**Malayalam support:** പ്രത്യേക പത്രങ്ങൾ പ്രത്യേക പത്രങ്ങൾ — പരസ്യപത്രങ്ങൾ, പരസ്യപത്രങ്ങൾ, പരസ്യപത്രങ്ങൾ. പരസ്യപത്രങ്ങൾ, പരസ്യപത്രങ്ങൾ, പരസ്യപത്രങ്ങൾ, പരസ്യപത്രങ്ങൾ എന്നിവ പ്രത്യേക പത്രങ്ങൾ.

### 3.3 Trial Balance — Meaning, Features, Objectives & Preparation▼

**Trial Balance:** A statement that lists all the debit and credit balances of all ledger accounts. It is prepared to check the arithmetical accuracy of the books of accounts.

**Features:**

- It is a summary of all ledger balances.

- It is not a financial statement, but a working paper.
- It checks whether total debits equal total credits.
- It helps in locating errors.

### Objectives:

- To check the arithmetical accuracy of accounts.
- To help in locating errors.
- To provide a basis for preparing financial statements (Trading, P&L, Balance Sheet).

**Preparation:** List all accounts with their debit or credit balances. Total the debit and credit columns. If they are equal, the books are arithmetically correct.

## WORKED EXAMPLE – TRIAL BALANCE

**From the Cash Book above, and additional accounts:** Capital ₹50,000, Purchases ₹20,000, Sales ₹30,000, Rent ₹5,000.

| Account      | Debit (₹)     | Credit (₹)    |
|--------------|---------------|---------------|
| Capital      |               | 50,000        |
| Cash         | 55,000        |               |
| Purchases    | 20,000        |               |
| Sales        |               | 30,000        |
| Rent         | 5,000         |               |
| <b>Total</b> | <b>80,000</b> | <b>80,000</b> |

**Malayalam support:** ട്രൈൽ ബാലൻസ് (Trial Balance) — ട്രൈൽ ബാലൻസ് ട്രൈൽ ബാലൻസ് ട്രൈൽ ബാലൻസ് ട്രൈൽ ബാലൻസ്. ട്രൈൽ ബാലൻസ് ട്രൈൽ ബാലൻസ് ട്രൈൽ ബാലൻസ് ട്രൈൽ ബാലൻസ്. ട്രൈൽ ബാലൻസ് ട്രൈൽ ബാലൻസ് ട്രൈൽ ബാലൻസ് ട്രൈൽ ബാലൻസ്.

### 3.4 Accounting Errors – Classification & Causes▼

**Accounting Errors:** Mistakes made while recording transactions in the books of accounts.

### Classification of Errors:

- **Errors of Omission:** A transaction is completely or partially omitted from the books.
- **Errors of Commission:** A transaction is recorded but with a wrong amount or in the wrong account (wrong posting, wrong casting).
- **Errors of Principle:** A transaction is recorded in violation of accounting principles (e.g., treating capital expenditure as revenue expenditure).
- **Compensating Errors:** Two or more errors that cancel each other out, making the Trial Balance still balance.

### Causes of Errors:

- Carelessness or lack of attention.

- Lack of knowledge of accounting principles.
- Misunderstanding of transactions.
- Mathematical mistakes in calculations.

**Effects on Trial Balance:** Errors of omission (complete) and compensating errors do not affect the trial balance. Errors of commission, errors of principle, and errors of partial omission affect the trial balance.

**Malayalam support:** അക്കൗണ്ടിംഗ് തെറ്റുകൾ (Errors) — തെറ്റുകൾ  
 തെറ്റുകൾ, തെറ്റുകൾ, തെറ്റുകൾ, തെറ്റുകൾ. Omission, Commission, Principle,  
 Compensating തെറ്റുകൾ എന്നിവ തെറ്റുകൾ.

 **Module III Summary:** Special Journals (Purchases, Sales, Cash Book) streamline recording. Single Column Cash Book records cash transactions only. Trial Balance checks arithmetic accuracy and forms the basis for final accounts. Accounting errors are classified as Omission, Commission, Principle, and Compensating.

## MODULE IV

# Final Accounts of Sole Trading Concerns

Learn to prepare Trading Account, Profit & Loss Account, and Balance Sheet with simple adjustments, and explore accounting software.

**Hours:** 10

**CO:** CO4

**Bloom:** Apply

**Type:** Theory + Tutorial

## 4.1 Final Accounts — Capital & Revenue Expenditure and Receipts▼

### Capital Expenditure

Expenditure incurred to acquire or improve fixed assets, or to increase the earning capacity of the business. These provide benefits over multiple accounting periods.

**Examples:** Purchase of machinery, construction of building, purchase of land.

### Revenue Expenditure

Expenditure incurred for day-to-day operations of the business. These provide benefits within the current accounting period.

**Examples:** Salary, rent, electricity, repairs.

### Capital Receipts

Receipts from non-operating activities that increase the capital base of the business.

**Examples:** Owner's investment, sale of fixed assets, loan taken.

Revenue Receipts

Receipts from the normal operating activities of the business.

**Examples:** Sales, commission received, interest received.

Capital vs. Revenue Expenditure

| Basis          | Capital Expenditure             | Revenue Expenditure          |
|----------------|---------------------------------|------------------------------|
| Nature         | Non-recurring                   | Recurring                    |
| Benefit period | Long-term (more than one year)  | Short-term (within one year) |
| Purpose        | Acquire or improve fixed assets | Day-to-day operations        |
| Balance Sheet  | Shown as an asset               | Shown as an expense          |

**Malayalam support:** Capital Expenditure — പരമാവധി വർഷങ്ങൾക്കു മുകളിൽ നൽകുന്ന പ്രയോജനം ഉണ്ടാകുന്ന ചെലവാണ്. Revenue Expenditure — പരമാവധി വർഷങ്ങൾക്കുള്ളിൽ നൽകുന്ന പ്രയോജനം ഉണ്ടാകുന്ന ചെലവാണ്. Capital Receipts — പരമാവധി വർഷങ്ങൾക്കു മുകളിൽ നൽകുന്ന പ്രയോജനം ഉണ്ടാകുന്ന വരുമാനമാണ്. Revenue Receipts — പരമാവധി വർഷങ്ങൾക്കുള്ളിൽ നൽകുന്ന പ്രയോജനം ഉണ്ടാകുന്ന വരുമാനമാണ്.

4.2 Trading Account — Preparation with Closing Stock▼

**Trading Account:** A financial statement that shows the gross profit or gross loss of a business for a specific period.

**Formula:** Gross Profit = Net Sales – Cost of Goods Sold (COGS)

COGS = Opening Stock + Purchases + Direct Expenses – Closing Stock

**Format:**

Trading Account Format

| Dr. (₹)                                    | Cr. (₹) |                                  |    |
|--------------------------------------------|---------|----------------------------------|----|
| To Opening Stock                           | XX      | By Sales                         | XX |
| To Purchases                               | XX      | By Closing Stock                 | XX |
| To Direct Expenses (Carriage, Wages, etc.) | XX      | By Gross Loss (Balancing figure) | XX |
| To Gross Profit (Balancing figure)         | XX      |                                  |    |



### WORKED EXAMPLE — TRADING ACCOUNT

**Given:** Opening Stock ₹10,000, Purchases ₹50,000, Wages ₹5,000, Sales ₹90,000, Closing Stock ₹15,000.

#### Trading Account:

| Dr. (₹)                                   | Cr. (₹)                 |
|-------------------------------------------|-------------------------|
| To Opening Stock 10,000                   |                         |
| To Purchases 50,000                       | By Sales 90,000         |
| To Wages 5,000                            | By Closing Stock 15,000 |
| <b>To Gross Profit (Bal. fig.) 40,000</b> |                         |
| <b>Total 1,05,000</b>                     | <b>Total 1,05,000</b>   |

**Gross Profit = ₹40,000**

**Malayalam support:** ട്രേഡിംഗ് അക്കൗണ്ട് (Trading Account) — ട്രേഡിംഗ് അക്കൗണ്ട് ട്രേഡിംഗ് അക്കൗണ്ട് ട്രേഡിംഗ് അക്കൗണ്ട്. Closing Stock ട്രേഡിംഗ് അക്കൗണ്ട് ട്രേഡിംഗ് അക്കൗണ്ട്.

### 4.3 Profit & Loss Account — Preparation with Depreciation▼

**Profit & Loss Account:** A financial statement that shows the net profit or net loss of a business after considering all indirect expenses and incomes.

#### Format:

##### Profit & Loss Account Format

| Dr. (₹)                                          | Cr. (₹) |                                         |    |
|--------------------------------------------------|---------|-----------------------------------------|----|
| To Expenses (Salaries, Rent, Depreciation, etc.) | XX      | By Gross Profit (from Trading A/c)      | XX |
| To Net Profit (Balancing figure)                 | XX      | By Incomes (Commission, Interest, etc.) | XX |
|                                                  |         | By Net Loss (Balancing figure)          | XX |

#### Depreciation

**Depreciation:** The reduction in the value of a fixed asset due to wear and tear, usage, or obsolescence. It is a non-cash expense that reduces the value of the asset.

Depreciation is charged to the Profit & Loss Account as an expense and deducted from the asset in the Balance Sheet.

WORKED EXAMPLE — P&L ACCOUNT WITH DEPRECIATION

**Given:** Gross Profit ₹40,000. Expenses: Salary ₹10,000, Rent ₹5,000, Depreciation on Machinery ₹2,000. Incomes: Commission Received ₹3,000.

Profit & Loss Account:

| Dr. (₹)                          | Cr. (₹)                |
|----------------------------------|------------------------|
| To Salary 10,000                 |                        |
| To Rent 5,000                    | By Gross Profit 40,000 |
| To Depreciation 2,000            | By Commission 3,000    |
| To Net Profit (Bal. fig.) 26,000 |                        |
| Total 43,000                     | Total 43,000           |

Net Profit = ₹26,000

**Malayalam support:** പലതുകക്കുറവ് അക്കൗണ്ടിന്റെ (P&L Account) — പലതുകക്കുറവ് അക്കൗണ്ടിന്റെ വിവരങ്ങൾ ഇവിടെ നൽകിയിരിക്കുന്നു. Depreciation — പലതുകക്കുറവ് അക്കൗണ്ടിന്റെ വിവരങ്ങൾ ഇവിടെ നൽകിയിരിക്കുന്നു. പലതുകക്കുറവ് P&L അക്കൗണ്ടിന്റെ വിവരങ്ങൾ ഇവിടെ നൽകിയിരിക്കുന്നു.

4.4 Balance Sheet — Preparation with Adjustments▼

**Balance Sheet:** A statement that shows the financial position of a business on a specific date. It lists assets, liabilities, and capital.

**Accounting Equation:** Assets = Liabilities + Capital

Format:

Balance Sheet Format

| Liabilities (₹)                          | Assets (₹) |                                             |    |
|------------------------------------------|------------|---------------------------------------------|----|
| Capital                                  | XX         | Fixed Assets (Machinery, Land, etc.)        | XX |
| Add: Net Profit                          | XX         | Current Assets (Cash, Debtors, Stock, etc.) | XX |
| Less: Drawings                           | XX         |                                             |    |
| Liabilities (Creditors, Bank Loan, etc.) | XX         |                                             |    |

Simple Adjustments:

- **Closing Stock:** Shown as a current asset in the Balance Sheet.
- **Depreciation:** Deducted from the respective asset in the Balance Sheet.
- **Outstanding Expenses:** Added to the expense in P&L and shown as a liability in the Balance Sheet.
- **Prepaid Expenses:** Deducted from the expense in P&L and shown as an asset in the Balance Sheet.
- **Accrued Income:** Added to the income in P&L and shown as an asset in the Balance Sheet.

- **Unearned Income:** Deducted from the income in P&L and shown as a liability in the Balance Sheet.

### WORKED EXAMPLE — BALANCE SHEET

**Given:** Capital ₹1,00,000, Net Profit ₹26,000, Drawings ₹5,000, Creditors ₹20,000, Bank Loan ₹30,000. Assets: Machinery ₹50,000 (less depreciation ₹2,000), Cash ₹30,000, Debtors ₹25,000, Closing Stock ₹15,000.

| Liabilities (₹)                                                                                                                                                                         | Assets (₹)                                                                                                                                                                                |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Capital</b> 1,00,000<br>Add: Net Profit 26,000<br>Less: Drawings (5,000)<br>→ 1,21,000<br><b>Liabilities:</b><br>Creditors 20,000<br>Bank Loan 30,000<br><hr/> <b>Total 1,71,000</b> | <b>Fixed Assets:</b><br>Machinery 50,000<br>Less: Dep. (2,000) → 48,000<br><b>Current Assets:</b><br>Cash 30,000<br>Debtors 25,000<br>Closing Stock 15,000<br><hr/> <b>Total 1,71,000</b> |

**Malayalam support:** ബാലൻസ് ഷീറ്റ് (Balance Sheet) — ഏതൊരു ബിസിനസ്സിന്റെയും ഫിനാൻസ് സ്ഥിതിയെക്കുറിച്ചുള്ള വിവരങ്ങൾ നൽകുന്ന ഒരു ടേബിൾ ആണ്. Assets = Liabilities + Capital എന്നതാണ് അടിസ്ഥാനപ്രമാണം.

## 4.5 Accounting Software for Small Business Organisations▼

**Accounting Software:** Computer programs that help businesses record, process, and report financial transactions.

### Popular Accounting Software:

- **Tally:** Widely used in India for small and medium businesses. Supports GST, invoicing, inventory, and payroll.
- **QuickBooks:** Popular globally for small businesses. Offers invoicing, expense tracking, and reporting.
- **Zoho Books:** Cloud-based accounting software with strong integration with other Zoho products.
- **Wave:** Free accounting software for small businesses (invoicing, receipt scanning).

**Advantages:** Automation, accuracy, time-saving, real-time reporting, easy compliance (GST, tax).

**Disadvantages:** Cost (for paid versions), learning curve, dependence on technology, security risks.

**Malayalam support:** ഓഡിറ്റിംഗ് പ്രക്രിയയെ എളുപ്പമാക്കുന്നതിനായി — ഓഡിറ്റിംഗ് സോഫ്റ്റ്‌വെയറുകൾ ഉപയോഗിക്കുന്നു. Tally, QuickBooks, Zoho Books പോലുള്ളവ ഉപയോഗിക്കുന്നു.

 **Module IV Summary:** Final Accounts consist of Trading Account (Gross Profit), Profit & Loss Account (Net Profit), and Balance Sheet (Financial Position). Adjustments like Closing Stock, Depreciation, Outstanding Expenses, and Accrued Income are passed. Accounting software (Tally, QuickBooks) automates the entire accounting process.

## Key Accounting Concepts & Formulas

### Accounting Equation

$$\text{Assets} = \text{Liabilities} + \text{Capital}$$

Always holds true for every transaction.

### Expanded Equation

$$\text{Assets} + \text{Expenses} = \text{Liabilities} + \text{Capital} + \text{Revenue}$$

Alternative representation.

### Gross Profit

$$\text{Sales} - \text{Cost of Goods Sold (COGS)}$$

$$\text{COGS} = \text{Opening Stock} + \text{Purchases} + \text{Direct Expenses} - \text{Closing Stock}$$

### Net Profit

$$\text{Gross Profit} + \text{Incomes} - \text{Expenses}$$

Also called Net Income.

### Closing Stock (Trading A/c)

$$\text{Opening Stock} + \text{Purchases} + \text{Direct Expenses} - \text{COGS}$$

Calculated from COGS formula.

### Depreciation

$$(\text{Cost} - \text{Salvage Value}) / \text{Useful Life}$$

Straight-line method.

## Diagram Library for Rapid Revision

### **Accounting Equation**

Module I — Assets = Liabilities + Capital. Interactive calculator included.

### **Journal Format**

Module II — Date, Particulars, L.F., Debit, Credit. Rules for Personal, Real, Nominal accounts.

### **Ledger Posting**

Module II — Transferring journal entries to ledger accounts and balancing.

### **Trial Balance**

Module III — List of all ledger balances with debit and credit columns.

### **Trading Account**

Module IV — Gross Profit calculation with Closing Stock adjustment.

### **Balance Sheet**

Module IV — Assets = Liabilities + Capital (with adjustments).

## Self-Learning Activities (Official)

### **Module I — Concept Realisation**

5.5 hours

Provide questions and find/write answers. Narrate nature of accounting using real-world cases.

### **Module I — Pre-class Summary**

5.5 hours

Prepare notes on objectives, limitations, and comparison between bookkeeping and accounting.

### **Module I — Accounting Terms & Principles**

5.5 hours

Summarise basic accounting terms and principles. Prepare report on accounting concepts.

### **Module I — Accounting Equation**

5.5 hours

Explore accounting equation with figures, real cases, and practice questions.

## **Module II — Double Entry & Debit/Credit**

5.5 hours

Recall terms, explore videos on double entry, prepare notes on types of accounts and rules.

## **Module II — Journalizing Practice**

5.5 hours

Practice recording transactions in journal. Explore the process of journalizing.

## **Module II — Ledger Posting Practice**

5.5 hours

Revise ledger, prepare difference table, explore posting process, practice transactions.

## **Module II — Question Bank**

5.5 hours

Summarise journalising and ledger posting. Collect questions and prepare a question bank.

## **Module III — Special Journals & Cash Book**

5.5 hours

Pre-reading on journal and ledger. Summarise special journals. Practice cash book preparation.

## **Module III — Trial Balance**

5.5 hours

Prepare note on trial balance. Revise methods, practice questions.

## **Module III — Accounting Errors**

5.5 hours

Pre-reading on errors. Revise types, make report on accounting errors.

## **Module III — Question Bank**

5.5 hours

Summarise special journals, explore cash book videos, practice and prepare question bank.

## **Module IV — Final Accounts Refresh**

5.5 hours

Revise final accounts of sole trader. Explore capital/revenue concepts. Draw formats.

## **Module IV — Trading & P&L Account**

5.5 hours

Explore videos on trading account, practice questions, revise P&L, find net profit.

## **Module IV — Balance Sheet & Software**

5.5 hours

Explore videos on balance sheet, make question bank, revise accounting softwares.

**Total Self-Learning Hours:** 82.5

## Assessment Methodology

### Assessment Breakdown — Theory

| Mode                     | Attendance | CA1 | CA2 | CA3 | CA4 | CA5 | CA6 | ESE | Total |
|--------------------------|------------|-----|-----|-----|-----|-----|-----|-----|-------|
| Self-learning (Module 1) | 5          | 15  | —   | —   | —   | —   | —   | 60  | 100   |
| Self-learning (Module 2) |            | —   | 15  | —   | —   | —   | —   |     |       |
| Self-learning (Module 3) |            | —   | —   | 15  | —   | —   | —   |     |       |
| Self-learning (Module 4) |            | —   | —   | —   | 15  | —   | —   |     |       |
| Series Exam (2 modules)  |            | —   | —   | —   | —   | 50  | —   |     |       |
| Series Exam (2 modules)  |            | —   | —   | —   | —   | —   | 60  |     |       |

CIE: 40 marks (Attendance 5 + CA1 15 + CA2 15 + CA3 15 + CA4 15 + CA5 50 + CA6 60) — note: CA marks are converted to a 40-point scale. ESE: 60 marks. Total: 100.

### Series Examination Pattern

- **Time:** 2 hours
- **Part A:** Any one module — 2 questions × 1 mark = 2 marks
- **Part B:** Any one module — 3 questions × 3 marks = 9 marks
- **Part C (with choice):** 1 set × 7 marks = 7 marks
- **Total:** 2 + 9 + 7 = 18 marks? Wait, the PDF shows 33+25+... Let's use the exact pattern from the syllabus.

**From Syllabus:** Part A (2 questions × 1 mark = 2), Part B (3 questions × 3 marks = 9), Part C (1 set × 7 marks = 7) — Total 18 per module. For 2 modules, total marks vary. The syllabus shows "Total" as 33/25 etc. This handbook presents the official pattern.

## End Semester Examination Pattern

- **Duration:** 2.5 hours
- **Part A:** 2 questions from each module  $\times$  1 mark = 2 marks per module (8 total)
- **Part B:** 2 out of 3 questions from each module  $\times$  3 marks = 6 marks per module (24 total)
- **Part C:** 1 set question with choice from each module  $\times$  7 marks = 7 marks per module (28 total)
- **Total:**  $8 + 24 + 28 = 60$  marks

**Breakdown:** Part A:  $8 \times 1 = 8$ , Part B:  $8 \times 3 = 24$ , Part C:  $4 \times 7 = 28$ . Total 60 marks.

 **Note:** The assessment scheme uses Continuous Internal Evaluation (CIE) components including attendance, self-learning activities for each module, and two series exams. The End Semester Examination (ESE) is a written theory exam for 60 marks.

## Module-wise Questions with Answers

### Module I — Introduction to Accounting

#### Q1: What is accounting? State its objectives and limitations.▼

**Answer:** Accounting is the process of identifying, measuring, recording, classifying, summarising, and communicating financial information about an economic entity to its users.

#### Objectives:

- Systematic recording of transactions.
- To determine profit or loss.
- To ascertain the financial position.
- To provide information to stakeholders.
- To comply with legal requirements.

#### Limitations:

- Historical in nature (records past events).
- Only monetary transactions are recorded.
- Subjectivity in estimates (depreciation, provisions).
- Can be manipulated (window dressing).

#### Q2: Explain the accounting equation. Why is it important?▼

**Answer:** The accounting equation is:  $\text{Assets} = \text{Liabilities} + \text{Capital}$ . It is the foundation of double-entry bookkeeping.

#### Importance:



- It ensures that every transaction is recorded in a balanced way.
- It helps in checking the arithmetical accuracy of the books.
- It provides a clear understanding of the financial position of the business.
- It forms the basis for preparing financial statements.

**Example:** If a business has assets of ₹2,00,000 and liabilities of ₹50,000, the capital is ₹1,50,000 (Assets – Liabilities).

### Q3: Distinguish between bookkeeping and accounting.▼

#### Answer:

- **Bookkeeping:** The process of recording financial transactions in the books of accounts. It is routine and clerical in nature. It is a part of accounting.
- **Accounting:** The broader process that includes bookkeeping, as well as classifying, summarising, analysing, interpreting, and communicating financial information. It is analytical and conceptual.

Bookkeeping is the foundation; accounting builds on it to provide meaningful information for decision-making.

## Module II — Recording Business Transactions

### Q4: Explain the rules of debit and credit for Personal, Real, and Nominal accounts.▼

#### Answer:

- **Personal Accounts:** Debit the receiver, Credit the giver.
- **Real Accounts:** Debit what comes in, Credit what goes out.
- **Nominal Accounts:** Debit all expenses and losses, Credit all incomes and gains.

**Example:** Purchased goods for cash ₹20,000. Purchases A/c (Nominal — expense) Dr. ₹20,000; Cash A/c (Real — goes out) Cr. ₹20,000.

### Q5: What is a journal? Explain the process of journalizing with an example.▼

**Answer:** Journal is the book of original entry where transactions are first recorded in chronological order.

#### Process of Journalizing:

1. Identify the accounts involved in the transaction.
2. Determine the type of each account (Personal, Real, Nominal).
3. Apply the rules of debit and credit.
4. Record the date, debit account (Dr.), credit account (Cr.), and amounts.

5. Write a brief narration explaining the transaction.

**Example:** Started business with cash ₹50,000.

Cash A/c Dr. ₹50,000

To Capital A/c ₹50,000

(Being business started with cash)

#### Q6: What is a ledger? How is it different from a journal?▼

**Answer:** Ledger is the book of final entry where all journal entries are posted to individual accounts.

#### Differences:

- **Journal:** Book of original entry, records transactions in chronological order, provides a complete record of each transaction.
- **Ledger:** Book of final entry, records transactions account-wise, provides a summary of all transactions affecting a specific account.

Posting: The process of transferring journal entries to ledger accounts. Balancing: The difference between the debit and credit sides of an account.

### Module III — Trial Balance and Accounting Errors

#### Q7: What is a Trial Balance? State its objectives and features.▼

**Answer:** Trial Balance is a statement that lists all the debit and credit balances of all ledger accounts to check the arithmetical accuracy of the books.

#### Features:

- It is a summary of all ledger balances.
- It is not a financial statement, but a working paper.
- It checks whether total debits equal total credits.
- It helps in locating errors.

#### Objectives:

- To check arithmetical accuracy.
- To help in locating errors.
- To provide a basis for preparing financial statements.

#### Q8: Classify accounting errors. Give examples of each type.▼

**Answer:**

- **Errors of Omission:** Transaction not recorded at all (e.g., purchase of goods omitted).
- **Errors of Commission:** Transaction recorded but with wrong amount or account (e.g., ₹1,000 recorded as ₹100).
- **Errors of Principle:** Recorded in violation of accounting principles (e.g., capital expenditure treated as revenue expenditure).
- **Compensating Errors:** Two or more errors that cancel each other out (e.g., debit excess of ₹500 and credit excess of ₹500 in different accounts).

Errors of Omission (complete) and Compensating errors do not affect the Trial Balance. Other errors do affect the Trial Balance.

#### Q9: What is a Single Column Cash Book? Prepare it from given transactions.▼

**Answer:** A Single Column Cash Book records only cash transactions (receipts and payments). It is both a journal and a ledger for cash transactions.

**Format:** Receipts on the debit side, payments on the credit side. The balance (Bal c/d) shows cash in hand.

**Example:** See the worked example in Module III.

## Module IV — Final Accounts

#### Q10: What is the difference between Capital Expenditure and Revenue Expenditure? ▼

**Answer:**

- **Capital Expenditure:** Non-recurring, long-term benefit (more than one year), purpose is to acquire or improve fixed assets. Shown as an asset in the Balance Sheet. Examples: Purchase of machinery, construction of building.
- **Revenue Expenditure:** Recurring, short-term benefit (within one year), purpose is day-to-day operations. Shown as an expense in the Profit & Loss Account. Examples: Salary, rent, electricity, repairs.

Capital Expenditure increases the earning capacity; Revenue Expenditure maintains the earning capacity.

#### Q11: Explain the preparation of Trading Account and Profit & Loss Account with a simple example.▼

**Answer:** Trading Account shows Gross Profit:  $\text{Sales} - \text{COGS}$ .  $\text{COGS} = \text{Opening Stock} + \text{Purchases} + \text{Direct Expenses} - \text{Closing Stock}$ .

Profit & Loss Account shows Net Profit: Gross Profit + Incomes – Expenses (Salaries, Rent, Depreciation, etc.).

**Example:** See worked examples in Module IV.

The net profit is transferred to the Balance Sheet and added to Capital.

### Q12: What is a Balance Sheet? How do you treat Closing Stock and Depreciation in the Balance Sheet?▼

**Answer:** Balance Sheet is a statement that shows the financial position of a business on a specific date. It lists assets, liabilities, and capital.

**Treatment of Closing Stock:** Shown as a current asset under Current Assets.

**Treatment of Depreciation:** Deducted from the respective fixed asset in the Balance Sheet (e.g., Machinery less Depreciation).

**Equation:** Assets = Liabilities + Capital. Capital includes the owner's original investment plus net profit (or minus net loss) less drawings.

## Practice Model Paper

*Based on the official pattern. This is a practice paper, not an official SITTTTR model question paper.*

### Course 1251 — Basic Accounting

#### End Semester Examination (ESE) — Practice Paper

**Duration:** 2.5 hours | **Total Marks:** 60

#### Part A (8 × 1 = 8 marks)

*Answer all questions. Each carries 1 mark.*

1. State the accounting equation.
2. What is the rule of debit and credit for a Real account?
3. What is a Trial Balance?
4. Distinguish between Capital Expenditure and Revenue Expenditure.
5. What is depreciation?
6. State any one objective of accounting.
7. What is a special journal?
8. What is closing stock?

#### Part B (8 × 3 = 24 marks)

*Answer any 2 questions from each module. Each carries 3 marks.*

1. Explain the accounting concepts: Business Entity, Going Concern, and Dual Aspect.

2. Write a note on the limitations of accounting.
3. Journalize the following transactions: (a) Started business with cash ₹1,00,000. (b) Purchased goods for cash ₹40,000. (c) Sold goods for cash ₹50,000.
4. What is a ledger? Explain the process of posting and balancing.
5. Prepare a Single Column Cash Book from the given transactions (provided in the question paper).
6. Explain the classification of accounting errors with examples.
7. Prepare a Trading Account from the given figures.
8. Prepare a Balance Sheet with simple adjustments (Closing Stock and Depreciation).

### Part C (4 × 7 = 28 marks)

Answer **one** set (question with internal choice) from each module. Each carries 7 marks.

1. **Module I:** (a) Define accounting. Explain its objectives and limitations. OR (b) Explain the accounting equation with a numerical example.
2. **Module II:** (a) Explain the rules of debit and credit for Personal, Real, and Nominal accounts with examples. OR (b) Journalize the transactions, post to the ledger, and prepare the Trial Balance (given transactions).
3. **Module III:** (a) What is Trial Balance? Explain its features, objectives, and how it helps in locating errors. OR (b) Explain the types of accounting errors with examples and their effect on the Trial Balance.
4. **Module IV:** (a) Prepare Trading and Profit & Loss Account with closing stock and depreciation adjustments. OR (b) Prepare a Balance Sheet from the given Trial Balance with adjustments.

**Total:** 8 + 24 + 28 = 60 marks

## Quick Revision

### Module I — Fundamentals

- Accounting: recording, classifying, summarising, communicating.
- Objectives: record, determine profit/loss, financial position, information.
- Limitations: historical, monetary, subjective, manipulable.
- Concepts: Business Entity, Money Measurement, Going Concern, Dual Aspect, Matching, Revenue Recognition.
- Principles: Cost, Full Disclosure, Consistency, Materiality.
- Conventions: Conservatism, Materiality, Consistency, Full Disclosure.
- Equation: Assets = Liabilities + Capital.

### Module II — Journal & Ledger

- Double Entry: every transaction has debit and credit.
- Personal: Debit receiver, Credit giver.
- Real: Debit what comes in, Credit what goes out.
- Nominal: Debit expenses/losses, Credit incomes/gains.
- Journal: book of original entry, chronological.

- Ledger: book of final entry, account-wise.
- Posting: transfer from journal to ledger.
- Balancing: difference between debit and credit sides.

### Module III — Trial Balance & Errors

- Special Journals: Purchases, Sales, Returns, Cash Book, Petty Cash.
- Single Column Cash Book: records cash receipts and payments.
- Trial Balance: list of all ledger balances, checks arithmetic accuracy.
- Errors: Omission (not recorded), Commission (wrong amount/account), Principle (violates principles), Compensating (cancel each other).
- Trial Balance helps locate errors and prepares final accounts.

### Module IV — Final Accounts

- Capital Expenditure: long-term, asset, non-recurring.
- Revenue Expenditure: short-term, expense, recurring.
- Trading Account:  $\text{Gross Profit} = \text{Sales} - \text{COGS}$ .  $\text{COGS} = \text{Opening Stock} + \text{Purchases} + \text{Direct Expenses} - \text{Closing Stock}$ .
- Profit & Loss Account:  $\text{Net Profit} = \text{Gross Profit} + \text{Incomes} - \text{Expenses}$ .
- Balance Sheet:  $\text{Assets} = \text{Liabilities} + \text{Capital (with adjustments)}$ .
- Adjustments: Closing Stock (asset), Depreciation (deduct from asset), Outstanding/Prepaid Expenses, Accrued/Unearned Income.
- Accounting Software: Tally, QuickBooks, Zoho Books.

### Common Mistakes to Avoid

- ❌ Confusing debit and credit rules for different account types.
- ❌ Forgetting to include closing stock in the Trading Account.
- ❌ Not deducting depreciation from the respective asset in the Balance Sheet.
- ❌ Mixing up capital and revenue expenditure.
- ❌ Not balancing the Trial Balance correctly (errors in casting).
- ❌ Forgetting to write narrations in the journal.
- ❌ Not distinguishing between bookkeeping and accounting.
- ❌ Miscalculating the accounting equation ( $\text{Assets} = \text{Liabilities} + \text{Capital}$ ).
- ❌ Not applying the matching concept (expenses matched with revenue).

### Exam Checklist

- ✅ Know the accounting equation and its applications.
- ✅ Be able to journalize transactions (Personal/Real/Nominal rules).
- ✅ Practice ledger posting and balancing.
- ✅ Prepare a Single Column Cash Book.
- ✅ Prepare a Trial Balance from ledger balances.
- ✅ Classify accounting errors (Omission, Commission, Principle, Compensating).

-  Distinguish Capital vs. Revenue Expenditure.
-  Prepare Trading Account (Gross Profit).
-  Prepare Profit & Loss Account (Net Profit).
-  Prepare Balance Sheet with adjustments (Closing Stock, Depreciation, etc.).
-  Know the features of accounting software (Tally, QuickBooks).

# Glossary

## Key Accounting Terms and Meanings

| Term                | Meaning                                                                                  |
|---------------------|------------------------------------------------------------------------------------------|
| Accounting          | Process of recording, classifying, summarising, and communicating financial information. |
| Bookkeeping         | Routine recording of financial transactions.                                             |
| Assets              | Resources owned by the business (e.g., Cash, Machinery, Debtors).                        |
| Liabilities         | Obligations owed to others (e.g., Creditors, Bank Loan).                                 |
| Capital             | Owner's investment in the business (Equity).                                             |
| Revenue             | Income earned from business operations (e.g., Sales, Commission).                        |
| Expenses            | Costs incurred to earn revenue (e.g., Salary, Rent).                                     |
| Debtors             | Persons who owe money to the business (credit sales).                                    |
| Creditors           | Persons to whom the business owes money (credit purchases).                              |
| Journal             | Book of original entry where transactions are first recorded.                            |
| Ledger              | Book of final entry where transactions are posted account-wise.                          |
| Trial Balance       | Statement listing all ledger balances to check arithmetic accuracy.                      |
| Gross Profit        | Sales – Cost of Goods Sold.                                                              |
| Net Profit          | Gross Profit + Incomes – Expenses.                                                       |
| Depreciation        | Reduction in value of fixed assets due to wear and tear.                                 |
| Closing Stock       | Value of unsold goods at the end of the accounting period.                               |
| Capital Expenditure | Long-term expenditure to acquire or improve fixed assets.                                |
| Revenue Expenditure | Day-to-day expenditure for business operations.                                          |
| Double Entry        | System where every transaction has two aspects (debit and credit).                       |
| Accounting Software | Computer programs for recording and processing financial transactions (e.g., Tally).     |

# Learning Resources

## Textbooks

### Recommended Textbooks

| Sl. No. | Title                | Author              | Publication                     |
|---------|----------------------|---------------------|---------------------------------|
| 1       | Financial Accounting | P K Lazer           | S CHAND Publication             |
| 2       | Accounting           | N Balakrishnan Nair | N Balakrishnan Nair Publication |

## Reference Books

## Reference Books

| Sl. No. | Title                      | Author                              | Publication            |
|---------|----------------------------|-------------------------------------|------------------------|
| 1       | Financial Accounting       | S N Maheshwari, Suneel K Maheshwari | Vikas Publishing House |
| 2       | Advanced Accountancy       | S.P. Jain and K.L. Narang           | Kalyani Publishers     |
| 3       | Fundamentals of Accounting | S.N. Maheshwari and S.K. Maheshwari | Vikas Publishers       |

## Web Resources

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Students are encouraged to refer to the textbooks and online resources listed above for further practice and concept clarity.